5. Creating a Financial Center

Anyone who predicted in 1965 when we separated from Malaysia that Singapore would become a financial center would have been thought mad. How did it happen, the gleaming modern office blocks in the city center with banks of computers linking Singapore with London, New York, Tokyo, Frankfurt, Hong Kong, and other major financial centers?

It had a most improbable start in 1968. In his oral history, Dr. Winsemius recalls his telephone call to his friend, the vice president of the Bank of America branch in Singapore, who was then in London. "Look here, Mr. Van Oenen, we [Singapore] want, within 10 years, to be the financial center in Southeast Asia." Van Oenen replied, "All right, you come to London. In five years you can develop it." Winsemius immediately went to London where Van Oenen took him to a large globe standing in a boardroom, and said, "Look here, the financial world begins in Zurich. Zurich banks open at 9 o'clock in the morning, later Frankfurt, later London. In the afternoon Zurich closes, then Frankfurt and London. In the meantime, New York is open. So London hands over financial money traffic to New York. In the afternoon New York closes; they had already handed over to San Francisco. When San Francisco closes in the afternoon, the world is covered with a veil. Nothing happens until next day, 9:00 A.M. Swiss time, then the Swiss banks open. If we put Singapore in between, before San Francisco closes, Singapore would have taken over. And when Singapore closes, it would have handed over to Zurich. Then, for the first time since creation, we will have a 24-hour round-the-world service in money and banking."

At Winsemius's request, Van Oenen wrote a paper on the subject and sent it to Hon Sui Sen, chairman of the EDB, and Winsemius's special link to me. Sui Sen saw me to propose that we lift foreign exchange control restrictions on all currency transactions between Singapore and territories outside the sterling area. We were still part of the sterling area that required exchange controls on the movement of money. When Sui Sen sounded out a Bank of England official on the possibility of setting up a foreign currency pool like Hong Kong's, which would allow us to have an Asian dollar market, he was told that Hong Kong's arrangement was allowed for historical reasons, and warned that Singapore might have to leave the sterling area. I decided the risk was worth taking and told Sui Sen to go ahead. The Bank of England did not force the issue and Singapore did not have to leave the sterling bloc. In any case, Britain dissolved it four years later.

Unlike Hong Kong, Singapore could neither ride on the reputation of the City of London, an established financial center with its long history of international banking, nor depend on the backing of the Bank of England, a symbol of financial expertise, reliability, and trustworthiness. In 1968, Singapore was a Third World country. Foreign bankers needed to be assured of stable social conditions, a good working and living environment, efficient infrastructure, and a pool of skilled and adaptable professionals. We also had to convince them that our currency board and the Monetary Authority of Singapore (MAS) were capable of supervising the banking industry. Both Keng Swee and I had decided in 1965, soon after independence, that Singapore should not have a central bank that could issue currency and create money. We were determined not to allow our currency to lose its value against the strong currencies of the big nations, especially the United States. So we retained our currency board which issued Singapore dollars only when backed by its equivalent value in foreign exchange. The MAS has all the powers of a central bank except the authority to issue currency notes.

The MAS has been professional in its financial supervision, working according to laws, rules, and regulations that were periodically reviewed and revised to keep pace with developments in financial services. We had to fight every inch of the way to establish confidence in our integrity, competence, and judgment. The history of our financial center is the story of how we built up credibility as a place of integrity, and developed the officers with the knowledge and skills to regulate and supervise the

banks, security houses, and other financial institutions so that the risk of systemic failure is minimized.

We made a modest start with an offshore Asian dollar market. It was the counterpart of the Eurodollar market; we called it "the Asian dollar market." Initially, this market was mainly an interbank market in Singapore that obtained foreign currency funds from banks abroad for lending to banks in the region, and vice versa. Later the Asian dollar market traded in foreign exchange and financial derivatives in foreign currency denominated securities, and undertook loan syndication, bond issuance, and fund management. The Asian dollar market in 1997 exceeded US$500 billion, nearly three times the size of our domestic banking market. The growth was stupendous because it fulfilled a market need. International financial transactions increased exponentially as trade and investments spread across the globe to cover East Asia, with Singapore as one of its key nodes.

In the early years from 1968 to 1985, we had the field all to ourselves in the region. We attracted international financial institutions by abolishing withholding tax on interest income earned by nonresident depositors. All Asian dollar deposits were exempted from statutory liquidity and reserve requirements. By the 1990s, Singapore had become one of the larger financial centers of the world, with its foreign exchange market ranking fourth in size after London, New York, and only slightly behind Tokyo. Because of our success after the mid-1980s, other countries in the region vied to develop international financial centers, some offering tax incentives more generous than ours. The foundations for our financial center were the rule of law, an independent judiciary, and a stable, competent, and honest government that pursued sound macroeconomic policies, with budget surpluses almost every year. This led to a strong and stable Singapore dollar, with exchange rates that dampened imported inflation.

In the 1970s, we had a brush against a big name in the city of London. In March 1972, Jim Slater, a highly regarded British investor who specialized in asset stripping, came to see me in Singapore. When Ted Heath became prime minister, the press reported that he had placed his assets and stockholdings with Jim Slater to manage in a blind trust. Therefore, Slater had strong credentials. I had met him a year earlier at a 10

Downing Street dinner hosted by Ted Heath. I welcomed Slater's participation in our stock market.

Later, in 1975, Sui Sen, then our finance minister, told me that Slater Walker Securities had engaged in manipulating the shares of Haw Par Brothers International, a public-listed company in Singapore. They had been siphoning off the assets of Haw Par and its subsidiaries illegally for the benefit of certain directors and themselves, conduct which amounted to criminal breach of trust: They were cheating the shareholders of Haw Par and the other companies. Investigation into a big name in the London Stock Exchange, if not justified, would give us a bad reputation. Should he proceed against Jim Slater? I decided that we had to if we were to maintain our standing as a well-managed stock exchange.

The investigation revealed a conspiracy to systematically strip off the Haw Par assets, and this was only the tip of a much larger and wider swindle. Slater Walker's criminal activities extended from Singapore to Malaysia, Hong Kong, and London, the final repository of the loot. They had used Haw Par subsidiaries in Hong Kong to purchase listed shares in Hong Kong then sold them to Spydar Securities, which was wholly owned by Slater Walker executives who shared these ill-gotten profits. The men responsible were Jim Slater, Richard Tarling, the chairman of Haw Par, and Ogilvy Watson, the managing director. Watson had returned to Britain before fleeing to Belgium with whom we did not have an extradition treaty. Slater and Tarling were resident in London. We sought the extradition of Tarling and Slater, but the British establishment did not extradite Slater. Instead, in 1979, after a three-year struggle through the London courts, the British home secretary ordered Tarling's extradition on only 5 of the 17 charges, the 5 carrying the lowest penalties. Tarling was prosecuted and sent to jail for six months on each of three charges of willful nondisclosure of material facts in Haw Par's 1972 consolidated profit and loss account. Years later, after he had ceased to be governor of the Bank of England, Gordon Richardson mumbled his regrets to me in my office that he could not help Singapore bring Slater to justice.

The MAS's reputation for being thorough and uncompromising in admitting only financial institutions of repute was put to the test in the

1970s and 1980s when it denied a license to the Bank of Credit and Commerce International (BCCI). The BCCI swindle affected nearly all the big financial centers by the time it finally ended. Incorporated in Luxembourg by a Pakistani, the bank's shareholders included members of the royal families of Saudi Arabia, Bahrain, Abu Dhabi, and Dubai. It had about 400 branches or offices in 73 countries in Europe, the Middle East, Africa, and America. It applied for an offshore banking license in Singapore in 1973. We rejected the application because the bank was too new (it started only in 1972) and low in capitalization. It resubmitted its application in 1980. Again the MAS would not approve; its international standing was poor.

The BCCI did not give up. In 1982, Van Oenen, who had helped us establish the Asian dollar market, enquired about its application. Koh Beng Seng, who had taken over as manager of the banking and financial institutions department of the MAS, had been told by several central bankers that they had reservations about the BCCI. So when Van Oenen saw me, I decided it was best to support Koh Beng Seng.

Not deterred, the BCCI tried again, this time through Harold Wilson. There was something strange about his letter. His practice had been to sign off in his own hand, "Yours sincerely Harold." This time the "Yours sincerely" was typewritten and he signed himself "(Harold) Wilson of Rievaulx." I decided he was writing pro forma, to oblige a friend.

Dishonest operations of the BCCI led to enormous losses for other banks. When it was closed down in July 1991, depositors and creditors had claims for US$11 billion. Singapore escaped unscathed because we refused to compromise standards.

The MAS also denied a license to the National Bank of Brunei which was run by a prominent Singapore Chinese businessman, Khoo Teck Puat. Khoo bought the National Bank of Brunei and arranged for the sultan's brother, Prince Mohamed Bolkiah, as the bank's president to write to the MAS in 1975 asking for a branch in Singapore. Another letter a few months later informed us that his brother, Prince Sufri Bolkiah, had been appointed executive deputy president. Because of Khoo's apparent political backing by the Brunei royal family, the matter was referred to me by the MAS. I backed the MAS decision to turn it down in 1975 and again in 1983 when the bank reapplied.

In 1986, the sultan issued an emergency order to close the National Bank of Brunei. There was a run on its deposits and suspicion of irregularities in loans of S$1.3 billion to Khoo's group of companies. He had used the funds of this bank for his own activities, among them an attempt to get a controlling interest in Standard Chartered Bank of London. His eldest son, who was chairman of the bank, was arrested in Brunei. Banks in Singapore, mainly foreign banks, had lent a total of S$419 million to the National Bank of Brunei. Khoo took two years to repay these debts.

Through strict rules and rigorous supervision, the MAS under Koh Beng Seng helped Singapore to develop as a financial center. To meet the competition from international banks, the MAS encouraged the four largest local banks (known as the "Big Four") to acquire and merge with the smaller local banks to become bigger and stronger. The Big Four were ranked by Moody's, the U.S. rating agency, as financially among the strongest and best capitalized in the world.

In 1985, the MAS had to help manage a crisis in the Stock Exchange of Singapore (SES). Malaysian speculators, particularly Tan Koon Swan, had deposited the shares of Pan Electric Industries and several Malaysian companies with our stockbrokers as security for loans at a higher price than their actual market value, with an undertaking to redeem the shares by a certain date at an even higher price. When the stock market went down and they ran out of money, they were unable to redeem their shares at the price agreed. This caused several large firms of stockbrokers, members of the SES, to become insolvent. The SES was closed for three days while MAS officials, led by Koh Beng Seng, worked around the clock with the Big Four banks to arrange an emergency "lifeboat" fund of S$180 million to rescue the stockbrokers. Koh's efforts enabled the SES to avoid systemic market failure and to restore investor confidence. It was a messy business.

To avoid a recurrence of such a crisis, we revised the Securities Industry Act to strengthen prudential requirements of stockbroking companies. This gave their clients better protection from default by SES member firms, which in turn incorporated themselves to increase their capital. We allowed foreign participation in SES member companies, and also wholly foreign-owned companies that brought in essential expertise.

Because of these prudent changes we had made, the SES was able to ride the Black Monday global stock market crash on 19 October 1987, when Hong Kong's stock exchange had to close down for four days.

Another advance for Singapore's financial center was the Singapore International Monetary Exchange (SIMEX). In 1984, the Gold Exchange of Singapore expanded its trade in gold futures to include financial futures and renamed itself SIMEX. To win the confidence of international financial institutions, we modeled SIMEX after the Chicago Mercantile Exchange (CME) with its open outcry trading system. We also convinced the CME to adopt a mutual offset system with SIMEX that enabled round-the-clock trading. This revolutionary concept allowed an investor to establish a position at CME in Chicago and close off at SIMEX in Singapore, and vice versa, without paying additional margins. The U.S. Commodity Futures Trading Commission approved this arrangement. The mutual offset arrangement has functioned without hitches since the inception of SIMEX. In 1995, when a SIMEX trader, Nick Leeson of Barings, a venerable London bank, lost over a billion U.S. dollars speculating on Nikkei Index Futures, he brought disaster upon Barings but did not affect SIMEX or cause losses to other SIMEX members or their customers.

In 1984, SIMEX started trading in Eurodollar interest rate futures contracts and soon afterward, the Euroyen. By 1998, SIMEX had listed a range of regional contracts including stock index futures of Japan, Taiwan, Singapore, Thailand, and Hong Kong. The London-based *International Financing Review* bestowed upon SIMEX the International Exchange of the Year award in 1998, the only Asian exchange ever to win this title, and the fourth time SIMEX had achieved this award.

As our financial reserves grew with increased Central Provident Fund (CPF) savings (Singapore's pension scheme) and yearly public sector surpluses, the MAS was not investing these funds long term for best returns. I asked Keng Swee to review this. He formed the Government of Singapore Investment Corporation (GIC) in May 1981 with me as chairman, himself as deputy chairman, and Sui Sen and several ministers as board members. Through Keng Swee's links with David Rothschild, we appointed N. M.

Rothschild & Sons as consultants. They sent an experienced officer to work with us for several months to set up the GIC organization. We also employed American and British investment managers to help us develop our systems for the different kinds of investments. To lead the management team, we appointed Yong Pung How as the GIC's first managing director. He secured James Wolfensohn, who later became the World Bank president, as adviser on investment strategy. Gradually, they built up a core of Singaporean professionals led by Ng Kok Song and Teh Kok Peng, who came over from the MAS. By the late 1980s, they and their staff had assumed the key management and investment responsibilities.

At first, the GIC managed only the government's financial reserves. By 1987, it was able to manage the reserves of the Board of Commissioners for Currency of Singapore and the long-term assets of the MAS as well. It was managing assets worth more than S$120 billion in 1997. The GIC's most important responsibility was to allocate our investments between equities (stocks and shares), bonds (mainly bonds issued by the governments of developed countries), and cash. There are books to explain the principles upon which the markets work, but they offer no certain guide to predicting future price movements, much less to making assured returns. In the volatile world of 1997–1998, the GIC could make or lose a few billion dollars just by the yen falling or the German mark rising dramatically against the U.S. dollar. Investing is a hazardous business. My cardinal objective was not to maximize returns but to protect the value of our savings and get a fair return on capital. In the 15 years since 1985, the GIC has outperformed relevant global investment benchmarks and more than preserved the value of our assets.

However, Singapore's financial center was considered over-regulated compared to Hong Kong's. Critics wrote, "In Hong Kong, what is not expressly forbidden is permitted; in Singapore, what is not expressly permitted is forbidden." They forgot that Hong Kong enjoyed the backing of the British flag and the Bank of England. Singapore, with no such safety net, could not have recovered from so dramatic a fall as easily. It had first to establish its reputation on its own. Visiting foreign bankers used to tell me that Singapore's financial market would grow faster if we

allowed them to introduce new financial products without having to wait until they had been tried and tested elsewhere. I would listen carefully but did not intervene because I believed we needed more time to establish our standing and reputation.

After I stepped down as prime minister in 1990, I had more time to delve into our banking sector and had working lunches with our Singapore bankers. One of them was Lim Ho Kee, a shrewd and successful foreign exchange dealer who was managing a major foreign bank in Singapore. He persuaded me to reexamine our policies which he said were overcautious and prevented our financial center from expanding and catching up with the activities of the more developed centers. I also had several brainstorming sessions in mid-1994 with other top Singaporean managers of foreign financial institutions. They convinced me that we had too much of our national savings locked up in the Central Provident Fund and that our statutory boards and government-linked companies were too conservative, placing their surpluses in bank deposits. They could have higher returns investing through experienced and well-qualified international fund managers in Singapore. This would expand the fund management industry and bring in more fund managers who in turn would attract foreign funds for investment in the region.

My views on our regulatory environment and banking practices began to change after 1992 when former U.S. secretary of state, George Shultz, who was chairman of the international advisory board of J. P. Morgan, a blue-ribbon U.S. bank, had me invited to be a member of this board. Through briefings and interaction with J. P. Morgan bankers in biannual meetings, I gained insights into their workings and saw how they were preparing themselves for globalized banking. I was struck by the quality of the members of this board which included the bank's directors. There were able and successful CEOs as well as former political leaders from every major economic region of the world to give them different inputs. I was useful to them because of my personal knowledge of our region. Other members brought intimate knowledge of their own regions or their specialties. I learned how they viewed Southeast Asia compared to other emerging markets: Latin America, Russia, other members of the Soviet Union, and the other countries of Eastern Europe. I was impressed by the way they welcomed and prepared for innovation and change in

banking especially with developments in information technology (IT). I concluded that Singapore was light-years behind them.

As chairman of the GIC, I had discussions on a range of banking issues with CEOs of the big American, European, and Japanese banks, and learned how they saw the future of global banking. By comparison, Singapore banks were inward-looking. Their boards of directors were mainly Singaporeans, as were the principal bank executives. I expressed my concerns to the chairmen of three of our big banks—Oversea-Chinese Banking Corporation, United Overseas Bank, and Overseas Union Bank. From their responses I concluded they were not awake to the dangers of being inbred and of failing to be outward- and forward-looking in an age of rapid globalization. They were doing well, protected from competition. They wanted the government to continue to restrict foreign banks from opening more branches or even ATMs (automatic teller machines). I cautioned them that, sooner or later, because of bilateral agreements with the United States or possibly World Trade Organization (WTO) agreements, Singapore would have to open up its banking industry and remove protection for local banks.

I decided in 1997 to break this old mold. Singapore banks needed an infusion of foreign talent and a different mindset. If these three big banks would not move, then the DBS Bank, in which the government had a stake, should set the pace. After talent scouting in 1998, DBS Bank engaged John Olds, an experienced senior executive who was about to leave J. P. Morgan. He took over as deputy chairman and CEO to make the bank a major Asian player. Soon, Oversea-Chinese Banking Corporation appointed as CEO a Hong Kong banker, Alex Au.

For over three decades, I had supported Koh Beng Seng on restricting the access of foreign banks to the local market. Now I believed the time had come for the tough international players to force our Big Four to upgrade their services or lose market share. There is a real risk that they may not be able to compete, in which case we may end up with no Singapore-owned and managed banks to depend on in a financial crisis.

Gradually I concluded that Koh, deputy managing director of the banking and financial institutions group in the MAS, was not keeping up with the enormous changes sweeping the banking industry worldwide. He was too protective of our investors. I sought advice from Gerald

Corrigan, formerly president of the Federal Reserve Bank of New York, and Brian Quinn, formerly of the Bank of England. They advised me separately that Singapore could change its style and method of supervising the banks without any loss of rigor, and without increasing the risk of systemic failure. Major financial centers such as New York and London concentrated on protecting not the different market players or the individual investors, but the system itself. Corrigan and Quinn convinced us that stronger and better-managed institutions should be given more leeway to assume risk.

As I did not want to revamp the MAS myself, early in 1997, with the prime minister's permission, I involved Loong in the work. He began meeting bankers and fund managers and mastered the workings of our financial sector. On 1 January 1998, when the prime minister appointed him chairman of the MAS, he was ready to move. With the help of a few key officers, he reorganized and refocused the MAS, to implement the new approach to regulating and developing the financial sector.

Loong and his team changed the MAS's approach to financial supervision; they did it with a lighter touch and were more open to industry proposals and views. With advice from management consultants and industry committees, they made policy changes that affected all parts of the financial sector. They took steps to promote the asset management industry and amended the rules on the internationalization of the Singapore dollar, to promote the growth of the capital market. The MAS encouraged the SES (stock exchange) and SIMEX (futures exchange) to merge and free up commission rates and access to the exchanges.

The MAS liberalized access to the domestic banking sector by allowing qualifying foreign full banks to open more branches and ATMs. It lifted limits on foreign ownership of local bank shares while requiring the banks to set up nominating committees in their boards, modeled on similar arrangements in many U.S. banks. These committees vet nominations to the board and key management appointments, to ensure that capable people are appointed who will look after the interests of all shareholders, not just the controlling shareholders.

The banks believed that a lighter touch in MAS supervision would enable them to be more innovative in introducing new financial products. Perhaps we should have made these changes earlier. But only after the

MAS had demonstrated the strength of its system to weather the financial crisis of 1987 and 1997–1998 did I feel confident enough to move closer to a position where what is not expressly forbidden is permitted. Our cautious approach helped us weather the 1997–1998 East Asian financial crisis. Our banks were sound and not overextended. No bubble puffed up our stock market. It has taken us 30 years from the time we first launched the Asian dollar market in 1968 to establish our credentials as a soundly managed international financial center.

From July 1997, when the financial crisis broke out in East Asia with the devaluation of the Thai baht, disasters devastated the currencies, stock markets, and economies of the region. But no bank in Singapore faltered. Investors were rushing to get out of emerging markets, under which Singapore was classified. When fund managers were fearful of hidden traps, withholding information was not an intelligent response. We decided on the maximum disclosure of information. To enable the investor to judge the value of our assets, we persuaded our banks to abandon their practice of maintaining hidden reserves and not disclosing their nonperforming loans. Our banks disclosed their regional loan exposures. They made substantial additional general provisions for their regional loans, dealing with the potential problems upfront instead of waiting for loans to turn bad. Because of the competent steps the MAS had taken to deal with the crisis, Singapore consolidated its position as a financial center.